

Case Study: Ethical and Managerial Challenges at Car Theory Limited

Background: Car Theory Limited is a vehicle servicing garage based in Dhaka, Bangladesh. The business was founded by an ambitious entrepreneur, a North South University (NSU) graduate with an MBA degree. Before venturing into the automobile service industry, the owner had a successful corporate career at Grameenphone BD, a leading multinational company in Bangladesh. Despite his strong academic and professional background, he lacked technical expertise in vehicle repair and servicing.

To bridge this gap, the owner hired an experienced technician and motor mechanic as the garage's manager. In addition to a monthly salary, he offered the manager a 10% profit share as an incentive to ensure loyalty and motivation. However, after a few months, the owner began to notice unusual behavior from the manager that raised concerns about ethics and business integrity.

Challenges Faced:

1. **Misrepresentation of Ownership:** The manager often misrepresented himself as the owner of Car Theory Limited. To assert his dominance, he mistreated and physically abused young apprentices at the garage.
2. **Unethical Business Practices:** The manager frequently received service calls from external customers but failed to share the service charges with the business. Additionally, he occasionally manipulated or hid actual bills, leading to financial discrepancies.
3. **Dependence on the Manager:** Since the key owner lacked technical knowledge, he was highly dependent on the manager for customer service and repair-related decisions. This made it challenging for him to detect fraudulent activities and maintain quality control.
4. **Industry Norms and Ethical Dilemma:** When the owner considered terminating the manager, he learned that such unethical practices were common in the Bangladeshi automobile service industry. This raised a significant dilemma—whether to remove the manager at the risk of operational setbacks or to find a way to regulate his behavior and ensure ethical compliance.

Decision Point: The key owner of Car Theory Limited now faces a critical decision: How should he address the unethical behavior of the manager while ensuring business continuity and maintaining ethical integrity?